



Let's rethink aging.

HOMEBUYER EDUCATION

Obtain A Mortgage & Know Your Rights





Agenda for Today

- ☐ Mortgage Loan Basics
- ☐ Help you understand steps in the home buying process & Knowing Your Team
- ☐ Determining Affordability – Calculating your income and housing ratios
- ☐ Know Your Consumer Rights

What is a Mortgage?

A mortgage is a type of loan that's used to finance a property.

Mortgages are "secured" loans. With a secured loan, the borrower promises collateral to the lender in the event they stop making payments. The collateral is the home.

If you stop making payments, your lender can take possession of your home in a process known as foreclosure.

Components of a Mortgage Payment

- 🏠 P = Principal - Money you borrowed
- 🏠 I = Interest - Cost of borrowing money
- 🏠 T = Taxes - Assessed by the county
- 🏠 I = Insurance - Home insurance



What is PMI?

- ❑ Private mortgage insurance, also called **PMI**, is a *type of mortgage insurance* you might be **required to pay** for if you have a conventional loan.
- ❑ PMI is usually required when you have a **conventional loan** and make a **down payment of less than 20 percent** of the home's purchase price
- ❑ PMI provides insurance which allows homebuyers to purchase a home with a lower down payment than would otherwise be required.

When is PMI Paid?

- ❑ Single payment premium – paid up front at closing
- ❑ Annual payment premium – divided into 12 monthly payments

How much will it cost?

- ❑ Type of Mortgage (Fixed or Adjustable)
- ❑ Borrower's Credit Score

When it can be removed?

- ❑ The loan balance reaches 78 percent of the original value of the property as long as your payments have been on time for a specified period
- ❑ The home's appraised value results in the loan balance being less than 80 percent

Type of Mortgage Loans

Conventional Loan

- ☐ Good option if you have solid credit and little debt
- ☐ Not insured or guaranteed by the government
- ☐ Backed by private lenders and PMI is paid by borrower If less than 20% down

Type of Mortgage Loans

FHA Loan (type of Government Loan)

- ☐ Allows lower credit score
- ☐ Easier to qualify - low down payment of 3.5%
- ☐ Mortgage insurance cannot be eliminated

Type of Mortgage Loans

VA Loan (type of Government Loan)

- ☐ For veterans, service members, or surviving spouses

Type of Mortgage Loans

USDA Loan (type of Government Loan)

- ❑ For low to middle-income borrowers in rural areas

Fixed Rate

- ❑ Has a fixed-interest rate for the life of the loan.
- ❑ The monthly payment of principal & interest remains the same each month.

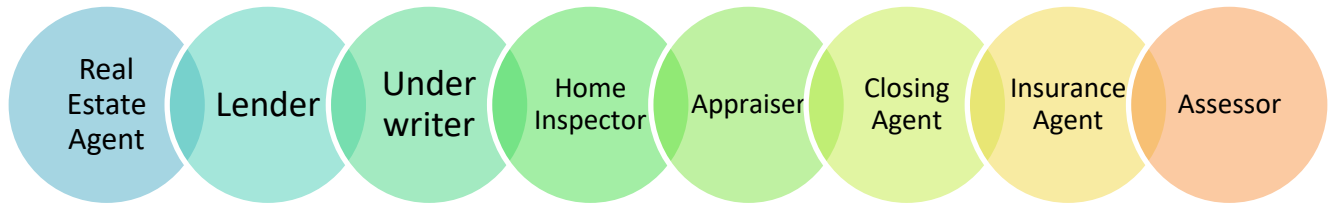
Adjustable Rate (ARM)

- ❑ Offers an interest rate that changes according to changing market conditions.

Steps to Homeownership



Knowing the Players on YOUR Team

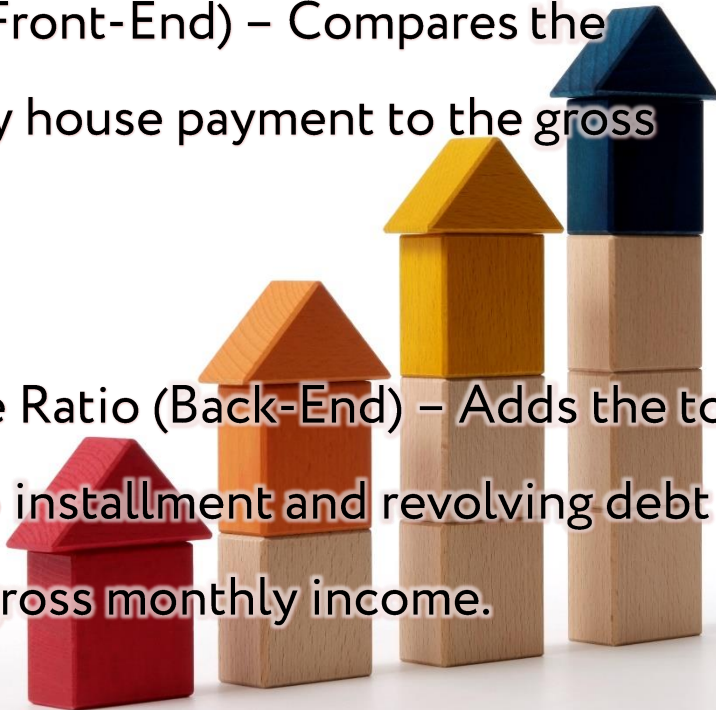


Determining Affordability



Ratios

- ❑ Housing Ratio (Front-End) – Compares the proposed monthly house payment to the gross monthly income.
- ❑ Debt-to-Income Ratio (Back-End) – Adds the total house payment to installment and revolving debt and compares to the gross monthly income.



Ratios

□ Housing Ratio (Front-End) =

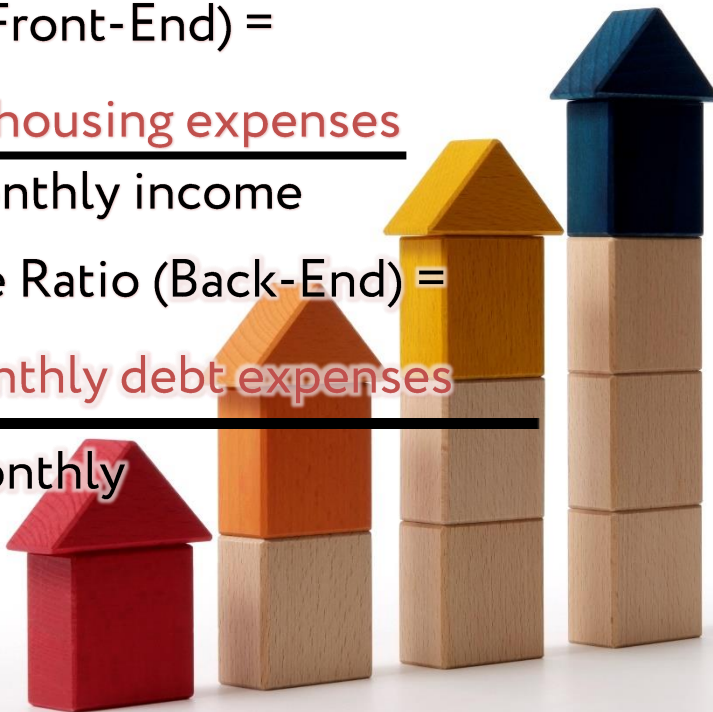
Monthly housing expenses

Gross monthly income

□ Debt-to-Income Ratio (Back-End) =

Total monthly debt expenses

Gross Monthly



Terrance and Wilma Murphy live with their children, Anita and Jerome, in a three-bedroom apartment in a large complex. The complex is crowded and noisy, and the children don't have a place to play. Last year, they established the goal of moving to a house within two years. They have been sticking to their budget and have managed to save \$1,200 toward a down payment. They have had several credit problems and have been working to clean up their credit record before they begin the purchase process. Recently, Terrance and Wilma have been spending their weekends driving around looking at houses for sale. When they see the prices of homes these days, they usually go back to the apartment feeling discouraged. They really want to buy a house, but they don't know where to begin. Perhaps you can help them get started by calculating their affordability. The Murphys checked their local paper for mortgage rates and terms offered by lenders in their area. They found a mortgage company that offers an 8.0 percent interest rate for a 30-year fixed-rate loan. The housing ratio for this product is 29 percent and the debt-to-income ratio is 41 percent.

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Prospective buyers: Terrance and Wilma Murphy
Children: Anita and Jerome
Occupations: Terrance: mechanic at a car dealership for seven years
 Wilma: full-time teacher's aide
Combined gross monthly income: \$2,890
Savings: \$1,200
Debts:

Creditor	Balance Amount	Monthly Payment	Months Remaining
Macy's	\$800	\$16	50
ABC Furniture	\$2,100	\$52	40
Freeman's Auto	\$2,200	\$195	11
Visa	\$1,600	\$48	33
J.C. Penney	\$1,200	\$36	33
Ford Motor	\$4,000	\$159	25

What can the Murphy's afford based on this information?

Step 1: Review Your Finances & Create a Budget

- ❑ Documenting your expenses and income will give you a clearer picture of your financial situation

A general guideline for loan qualification:

- ❑ Monthly housing costs should not exceed **28%** of your monthly gross income
- ❑ Monthly housing costs plus other monthly debts should not exceed **45%** of your monthly gross income

STEP 1a: How Much Can You Actually Afford?

Be sure to consider additional expenses not part of the mortgage payment:

Upfront costs of homeownership

Down payment

Home inspection fee

Closing costs

Moving costs

Household furnishings, decorations and
appliances

Ongoing costs of homeownership

Utilities

Repairs

Maintenance

Other Financial Goals!

STEP 2: Save for your Down Payment

- ❑ Mortgage programs typically have down payment requirements ranging from 3% to 20%.
- ❑ The majority of first-time home buyers should expect to put down a minimum of 3% to 5% of the purchase price.
- ❑ Buyers can put down more if they have the funds to do so. This creates greater initial equity in the home and reduces the monthly mortgage payment obligation.
- ❑ There may be down payment assistance programs (DPA) or loan programs with minimal down payment requirements available in various communities. Consider closing costs when saving.

STEP 2: Save for your Down Payment

- ❑ Depending on the housing market, some sellers may be willing to pay a portion of the closing costs on behalf of the buyer. Ask your real estate agent whether such a request might be considered by the seller.
- ❑ Lenders may also require that you have additional cash reserves on hand at loan closing, so avoid making large purchases during the home buying process.

Step 3: Check Your Credit



- ☐ Mortgage lenders will evaluate your credit history and your credit score to determine your willingness to repay a loan.
- ☐ When you receive your credit report, be sure to review it for errors and omissions. If you find something wrong, dispute it.

Step 4: Preapproved before you shop

- ☐ Preapproval is a simple process that can be done over the phone and at no cost.
- ☐ You provide some details about your income and financial status.
- ☐ The lender will pull your credit report to review. After evaluating this information, the lender can help you determine how much you may be qualified to borrow and estimate what your monthly mortgage payment might be.

Step 4: Preapproved before you shop

- ☐ You'll receive a preapproval letter from the lender, which many sellers require prior to reviewing an offer.
- ☐ Being preapproved is considered more attractive to sellers as it proves you are a serious buyer.

SHOP FOR A LENDER

- ❑ Realtor
- ❑ Check with current financial institution
- ❑ Get referrals
- ❑ Community resources
- ❑ Ask your homeownership counselor!

SHOP FOR A LENDER

When comparing lenders, here are some of the loan terms you'll want to review:

- ☐ Interest rate
- ☐ Fees
- ☐ Loan term
- ☐ Monthly payment
- ☐ Down payment
- ☐ Type of Loan
- ☐ Pre-payment penalties

Step 5: Find a home & make an offer

- ☐ With the help of a real estate agent, tour homes in your price range.
- ☐ Evaluate the neighborhood.
- ☐ In a sellers' market, homes priced competitively sell quickly.
- ☐ Timing is key when demand for homes is high, so you'll need to act promptly.
- ☐ Be mindful of your financial circumstances, down payment amount, and closing costs when negotiating a price.

Step 5: Find a home & make an offer

- ☐ When you find the right home, your real estate agent will help you identify and negotiate an appropriate offer based on the value of comparable homes in the same neighborhood.
- ☐ Don't be afraid to walk away if the price makes you uncomfortable – you know your financial situation best.
- ☐ Once you and the seller reach an agreement on the price, you will be under contract, or “go into escrow” depending on your geographic location.

Step 6: Order a Home Inspection

- ☐ Your real estate agent may ask if you want to include a home inspection contingency in your offer, meaning the offer would be subject to a satisfactory inspection by a licensed home inspector.
- ☐ As a home buyer, always exercise your right to a home inspection.
- ☐ Home inspection costs may range from \$300 to \$500, depending on the rates where you live.
- ☐ Licensed home inspectors are trained to look at the visual condition of the home to determine if there are any major structural or mechanical issues.

Step 6: Order a Home Inspection

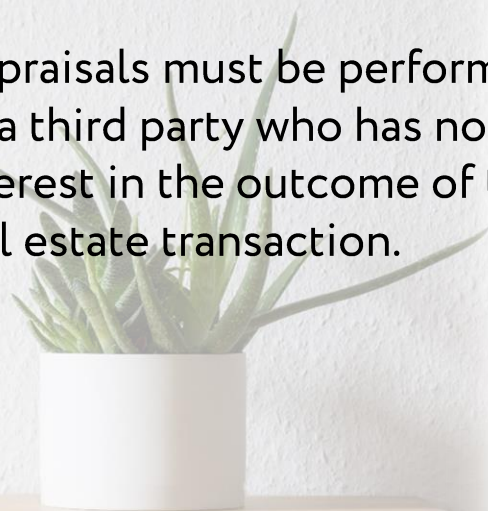
- ☐ After the inspection, the inspector will give you a report which will note any deficiencies.
- ☐ You can choose to ask the seller to fix any problems before proceeding with the contract. If the seller has agreed to make repairs, you can ensure they were made according to the agreed terms when you perform the “walk-thru” of the home prior to closing.
- ☐ Inspections should be performed on all homes — even newly-built ones.

The Home Appraisal Process

An appraisal is an unbiased, professional estimate of value from an independent, licensed real estate appraiser.

By law, lenders cannot complete their own appraisals.

Appraisals must be performed by a third party who has no interest in the outcome of the real estate transaction.



STEP 7: Submit Completed Loan Application

- ❑ After the seller has accepted your offer, you must apply for your loan by submitting a completed loan application to your lender.
- ❑ You'll be asked to provide documents needed to verify the financial information provided on your application.
- ❑ Within three business days of submitting the application, you'll receive initial disclosures from your lender to review.

STEP 7: Submit Completed Loan Application

- ☐ You'll sign forms to provide your consent to proceed with the loan processing.
- ☐ The lender will order an appraisal after receiving your signed forms and collecting any applicable fees.
- ☐ You'll be assigned to a loan processor who will work with you to ensure your loan application is processed in a timely manner. He or she will let you know if additional documentation is needed to verify the information on your loan application.

Step 8: Shop for Homeowner's Insurance

- ❑ Known officially as “homeowner’s hazard insurance”, homeowner’s insurance is a requirement of your loan approval.
- ❑ Homeowner’s insurance protects your home against loss due to legal liability, fire, theft, or natural causes.
- ❑ Not all types of peril are covered under homeowner’s insurance.
 - If your property is located in an area that the Federal Emergency Management Agency (FEMA) has determined to be at risk for flooding, your lender may also require you to purchase a separate flood insurance policy. Otherwise, they may be prevented by law from offering you financing.
- ❑ Your policy must be in effect as of your closing date. Your lender will work with the insurance agency of your choice to ensure this.

Step 9: Receive Lender Approval

- ❑ After a file has been fully underwritten and all of the conditions are satisfactorily met, a final underwriting approval will be issued.
- ❑ This is known as a “Clear to Close.”

Step 10: Close On Your Home

- ☐ Review the Closing Disclosure sent to you by your lender prior to the loan closing date.
- ☐ You and any co-borrowers will sign the closing documents. Sometimes your real estate agent and/or loan officer may be present with you at the signing.
- ☐ Ownership of the home moves from seller to buyer in the form of a deed.
- ☐ Get the keys!

Review Closing Documents

Revised Loan Estimate

Closing Disclosure

Mortgage note

Mortgage

Necessary affidavits



Knowing Your Rights

Understanding Your Rights as a Consumer

- ❑ Education is the first line of defense against fraud and deception.
- ❑ Housing counselors are familiar with basic consumer protection laws.
- ❑ The following slides is a general list of relevant federal laws, acts and federal consumer protections

Equal Credit Opportunity Act

- ☐ A law created with the aim of giving all individuals an equal opportunity to obtain loans and other types of credit from financial institutions and other lenders.
- ☐ Protects you from being discriminated against by lenders, based on: **race, color, religion, national origin, sex, marital status, age, or because you get public assistance.**

The Fair and Accurate Credit Transactions Act

- ☐ Federal law passed in November 2003
- ☐ Amended the FCRA(Fair Credit Reporting Act)
- ☐ Protects consumers from identify theft
- ☐ Allow consumers to get a free credit from the three major bureaus.

The Fair Credit Billing Act

Federal law enacted to protect consumers from unfair billing practices such as:

- ☐ Unauthorized charges
- ☐ Charges for unaccepted or undelivered goods and services and other disputed charges
- ☐ The law applies to revolving charge accounts and open-end credit accounts
- ☐ Consumers have 60 days from time they receive credit card bill to dispute charge

Fair Debt Collection Practices Act

Federal law enacted to protect consumers from unfair billing practices such as:

- ☐ Unauthorized charges
- ☐ Charges for unaccepted or undelivered goods and services and other disputed charges
- ☐ The law applies to revolving charge accounts and open-end credit accounts
- ☐ Consumers have 60 days from time they receive credit card bill to dispute charge

Fair Housing Act

- ❑ Protects people from discrimination when they are renting or buying a home, getting a mortgage, seeking housing assistance or engaging in other housing-related activities.
- ❑ The seven classes protected under the Federal Fair Housing Act are: **Color, Disability, Familial Status** (i.e., having children under 18 in a household, including pregnant women), **National Origin, Race, Religion, Sex**

The Real Estate Settlement Procedures Act

- Enacted by Congress to provide homebuyers and sellers with complete settlement cost disclosures.
- Prohibits abusive practices in the real estate settlement process, to prohibit kickbacks.
- Applies to the majority of purchase loans, refinances, property improvement loans and equity lines of credit.

TILA-RESPA Integrated Disclosure

- ☐ A five-page Closing Disclosure form that provided details about the mortgage loan selected.
- ☐ Includes loan terms, projected monthly payments, and how much you will pay in fees and other costs to get your mortgage.
- ☐ **After** you **sign** the Closing Disclosure, the mortgage paperwork is prepared and all parties involved in the transaction get set to close the loan within three days.



QUESTIONS?